Session Two Pop Quiz

- What is the tragedy of commons? What are the solutions?

- What are the potential concerns of sustainability information?

Session Two Pop Quiz (cont'd)

- What is the tragedy of commons? What are the solutions?
  - Self-serving individuals overuse or deplete a shared resource — even though it is in everyone's long-term interest to preserve it.
  - Solutions: Education, regulation, privatization, subsidies/grants.

- What are the potential concerns of sustainability information?
  - Voluntary disclosure
  - Lack of standardization, comparability, verifiability
  - Lack of completeness, subject to managers' reporting strategy (greenwashing)
  - Lack of focus and clear purpose

Basics for Accounting Analysis

"I had my accounting department run a cost-benefit analysis on you and I have some bad news."

CN COLLECTION

LSE Department of Accounting

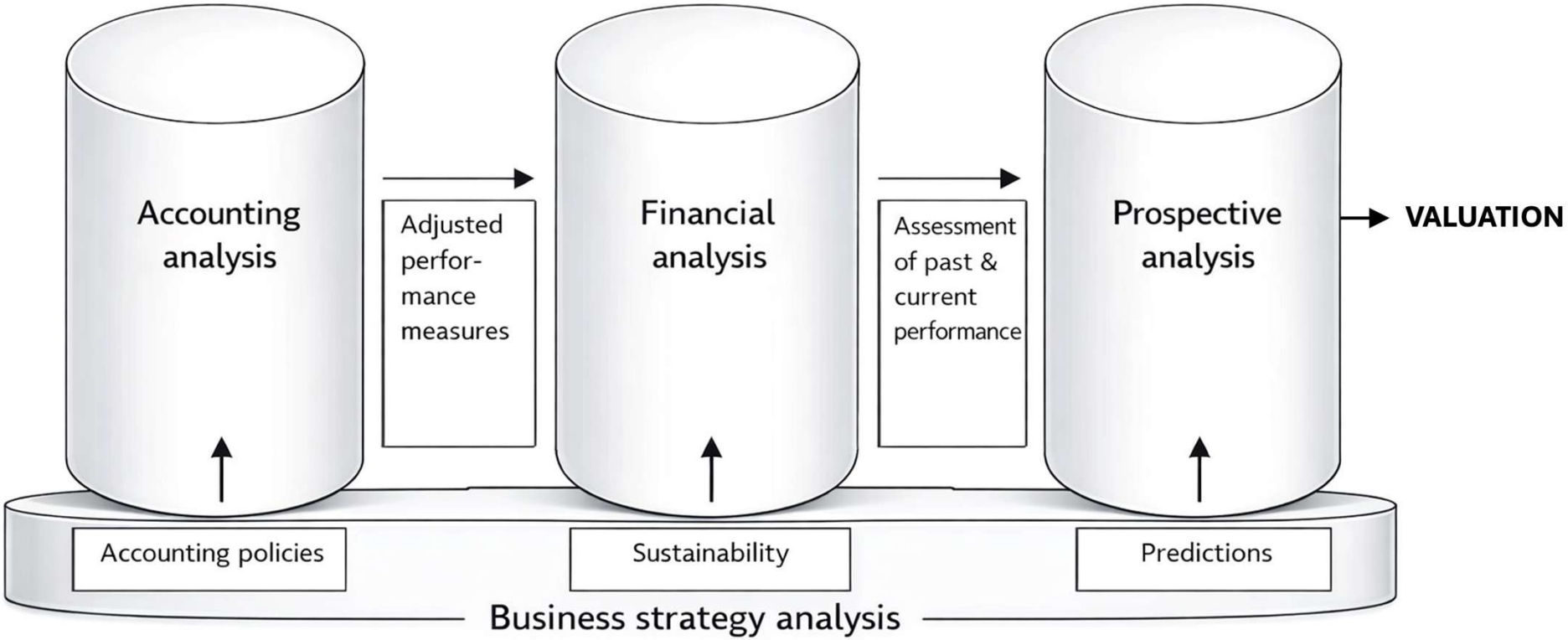
Recap Key Concepts in Week 1's Lecture

- Lemons problem and information asymmetry in capital markets
- Role of financial reporting in capital markets
- Business activities and financial statements
- Role of accounting standards
- Role of auditors and public enforcement
- Sustainability reporting

Key Concepts in This Lecture

- Various factors influence the quality of accounting-based financial reports
- Principles-based vs. rule-based accounting standards
- Incentives for the management of financial reporting items must be considered by the analyst
- Steps in performing accounting analysis
- Accounting analysis pitfalls

Business Analysis Tools



The Importance of Accounting Analysis

- Accounting **practices** govern the types of disclosures made in the financial statements.

- Understanding accounting allows the business analyst to effectively use the financial information disclosed by companies.

Accounting Quality

- Class discussion:
  - What are the potential sources of noise and bias in accounting data?
  - Can you provide some examples?

- Noise from accounting rules
- Managers' forecast/estimate errors
- Managers' bias in reporting

1. Noise from Accounting Rules

- Accounting rules too rigid and create noise

Rule-based standards

- Based on technical rules
- **US GAAP**
- E.g., Almost all R&D costs expensed

Principles-based standards:

- Based on general principles– financial statements reflect economic substance
- **IFRS**
- E.g., Some development (D) costs can be capitalized

Another example: a firm should consider a lease as capital (finance) lease if *any* of the condition holds:

IFRS (principles-based):

1. Ownership of the asset is transferred to the lessee at the end of the lease term.
2. Lessee has option to purchase the asset for a bargain at the end of the lease term.
3. Lease term is for the major part of asset's estimated useful life.
4. Present value of lease payments is equal to substantially all of the fair value of the asset.
5. Asset cannot be used by other than the lessee without major modification.

US GAAP (rule-based):

1. Ownership of the asset is transferred to the lessee at the end of the lease term.
2. Lessee has option to purchase the asset for a bargain at the end of the lease term.
3. Lease term is 75% or more of the asset's estimated useful life.
4. Present value of the minimum lease payments is 90% or more of the fair value of the asset.

** Above are old lease accounting rules*

Accounting Standards

- **7 mins** group debate, please divide your group into two:
  - One side argues that principles-based standards are better.
  - One side argues that rule-based standards are better.
  - Cast your vote at www.menti.com using code 7422 9432.

Rule-based vs. Principles-based standards

Rule-based standards:

- Managers have less discretion
- Less leeway to manipulate
- Larger distortion from economic substance

Principles-based standards:

- Managers have more discretion
- Smaller distortion from economic substance
- Higher demand for professionalism from auditors,
- Harder to enforce
- Higher chances for misuse

2. Manager's Forecast Errors

- Can you think of accounting examples where managers need to make forecasts/estimates?
  - Allowance for doubtful accounts
  - Depreciation and amortization
  - Inventory valuation
  - Pension and post-retirement obligations
  - Goodwill impairment
  - Contingent liabilities
  - Loan loss provisions

3. Manager's Bias

"I found a quick fix for our company's financial problems. I removed the red ink cartridge from the printer."

What are managers' incentives to <u>distort</u> accounting numbers and <u>hide</u> important information from external users?

Managers have incentives to make accounting choices that are biased:

- Getting higher compensation (bonus contracts often based on accounting numbers)
- Boosting stock price (to increase equity-based compensation)
- Increasing reputation: retention and promotion in labor market
- Obtaining extra financing (debt or equity)
- Getting business plans approved by board (e.g. expansion, M&A), empire building
- Tax considerations: pay less tax
- "Big bath" or "cookie jar" (to understate performance)
- Competitive considerations (to hide profitable segments)
- Avoiding accounting-based debt covenant violation
- Regulatory considerations (competition laws, import tariffs)
- Stakeholder considerations (e.g., labor union negotiation)
- Profiting from insider trading (by hiding good news or delaying bad news)

What should be the distribution of earnings?

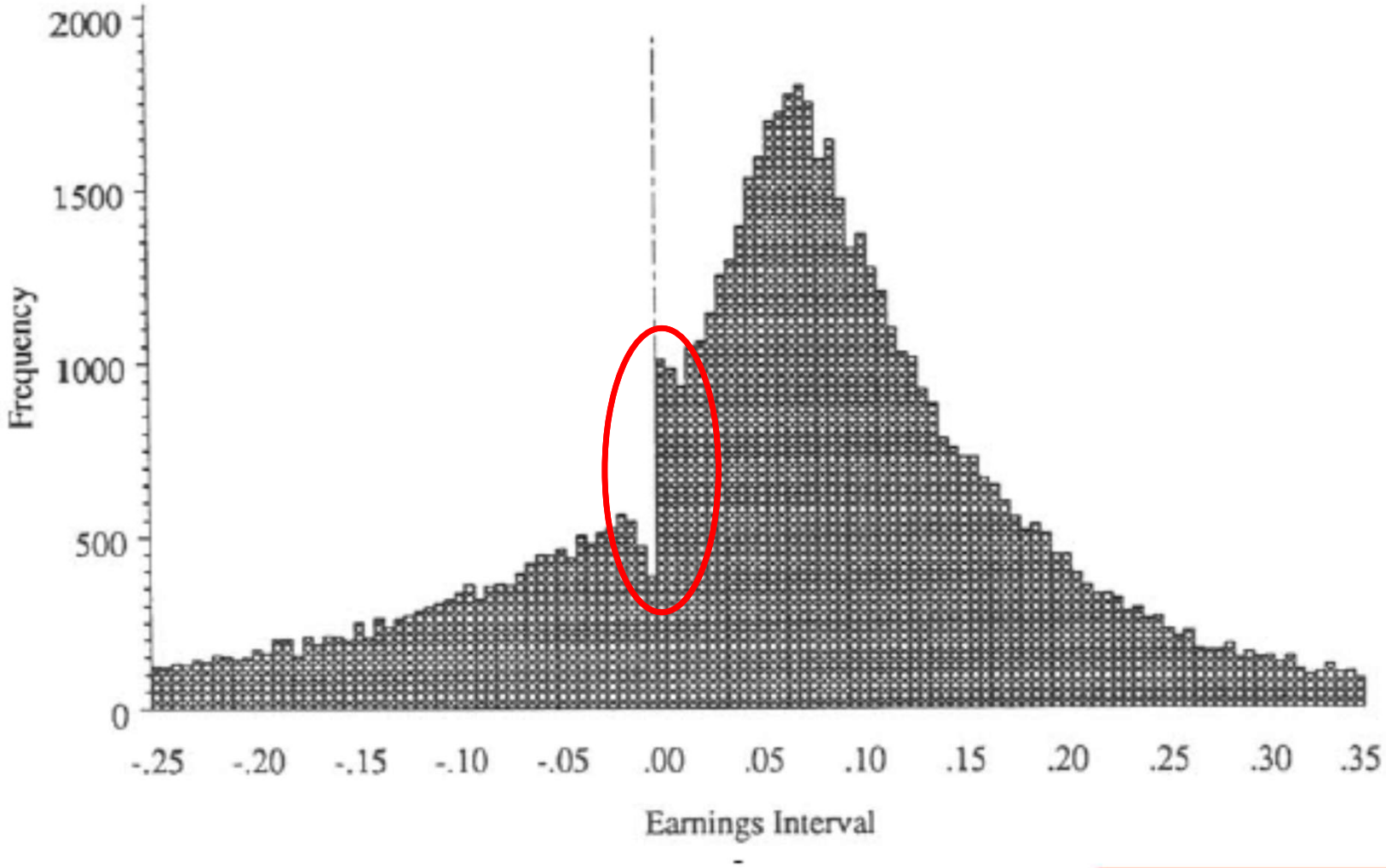


Fig. 3: Managers have incentives to avoid losses
- by D. Burgstahler and I. Dichev, *Journal of Accounting and Economics, 1997*

Steps in Performing Accounting Analysis

- **Step 1:** Identify Principal Accounting Policies
  - Key policies and estimates used to measure risks and critical factors for success must be identified (Notes)
  - IFRS requires firms to identify critical accounting estimates (Notes)
- **Step 2:** Assess Accounting Flexibility
  - How much discretion does a manager have in choosing policies and estimates?

Accounting Policies of M&S

Questions:

What inventory methods does M&S use? Where to look for such information? Are they reasonable?

Inventories

Inventories are valued on a weighted average cost basis and carried at the lower of cost and net realisable value. Cost includes all direct expenditure and other attributable costs incurred in bringing inventories to their present location and condition. All inventories are finished goods. Certain purchases of inventories may be subject to cash flow hedges for foreign exchange risk. The initial cost of hedged inventory is adjusted by the associated hedging gain or loss transferred from the cash flow hedge reserve ("basis adjustment").

-- Extracted from "Note 1 Accounting Policies: Inventories" of M&S's 2024 Annual Report

Accounting Policies of M&S (cont'd)

Questions:

What depreciation methods does M&S use? Where to look for such information? Are they reasonable?

Depreciation is provided to write-off the cost of tangible non-current assets (including investment properties), less estimated residual values on a straight-line basis as follows:

- Freehold land – not depreciated.
- Buildings – depreciated to their residual value over their estimated remaining economic lives of 10-50 years.
- Fixtures, fittings and equipment – 3-25 years, according to the estimated economic life of the asset.

Residual values and useful economic lives are reviewed annually. Depreciation is charged on all additions to, or disposals of, depreciating assets in the year of purchase or disposal.

Any impairment in value, or reversal of an impairment, is recognised within the income statement.

-- Extracted from "Note 1 Accounting Policies: Property, Plant & Equipment" of M&S's 2024 Annual Report

Step 3: Evaluate Accounting Strategy

- Flexibility in accounting choices allows managers to strategically communicate economic information or hide true performance
- Issues to consider include:
  - Norms for accounting policies with industry peers
  - Incentives for managers to manage earnings
  - Changes in policies and estimates and the rationale for doing so
  - Whether transactions are structured to achieve certain accounting objectives (e.g., off-balance-sheet special purpose entities)

Step 4: Evaluate the Quality of Disclosure

- Managers have considerable discretion in disclosing certain accounting information
- Issues to consider include:
  - Whether disclosures seem adequate
  - Adequacy of notes to the financial statements
  - Whether the Management Discussion& Analysis section sufficiently explains and is consistent with current performance
  - Adequacy of segment disclosure
  - Forthcoming with bad news?

Pop Quiz

How much do you know about Apple's business?

Segment Reporting by Apple Inc.

	2025						
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	$ 178,353	$ 111,032	$ 64,377	$ 28,703	$ 33,696	$ —	$ 416,161
Cost of sales	(95,699)	(58,617)	(35,141)	(13,779)	(17,724)	—	(220,960)
Research and development	—	—	—	—	—	(34,550)	(34,550)
Selling and marketing	(10,174)	(4,676)	(2,319)	(969)	(1,386)	—	(19,524)
General and administrative	—	—	—	—	—	(8,077)	(8,077)
Operating income/(loss)	$ 72,480	$ 47,739	$ 26,917	$ 13,955	$ 14,586	$ (42,627)	$ 133,050

	2024						
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	$ 167,045	$ 101,328	$ 66,952	$ 25,052	$ 30,658	$ —	$ 391,035
Cost of sales	(89,587)	(55,197)	(37,519)	(11,744)	(16,305)	—	(210,352)
Research and development	—	—	—	—	—	(31,370)	(31,370)
Selling and marketing	(9,802)	(4,341)	(2,351)	(854)	(1,291)	—	(18,639)
General and administrative	—	—	—	—	—	(7,458)	(7,458)
Operating income/(loss)	$ 67,656	$ 41,790	$ 27,082	$ 12,454	$ 13,062	$ (38,828)	$ 123,216

-- Extracted from "Note 13 Segment Information and Geographic Data" of Apple's 2025 Annual Report

Segment Reporting by Apple Inc. (cont'd)

The following table shows disaggregated net sales, as well as the portion of total net sales that was previously deferred, for 2025, 2024 and 2023 (in millions):

	2025	2024	2023
iPhone	$ 209,586	$ 201,183	$ 200,583
Mac	33,708	29,984	29,357
iPad	28,023	26,694	28,300
Wearables, Home and Accessories	35,686	37,005	39,845
Services [1]	109,158	96,169	85,200
Total net sales	$ 416,161	$ 391,035	$ 383,285

-- Extracted from "Note 2 Revenue" of Apple's 2025 Annual Report

Step 5: Identify Potential Red Flags

- Examples of potential red flag:
  - Unexplained changes in accounting, especially when performance is poor
  - Unexplained transactions that boost profits
  - Unusual increases in receivables relation to sales (relaxed credit policy or artificially loading up distribution channels to record revenue)
  - Unusual increases in inventories in relation to sales (cannot sell products or expecting increase in sales?)
  - Increases in the gap between net profit and cash flows (aggressive revenue recognition policy?)

Step 5: Identify Potential Red Flags (continued)

- Use of R&D partnerships, SPEs or the sale of receivables to finance operations (e.g. off-balance-sheet liabilities)
- Unexpected large asset write-offs (what caused them?)
- Large year-end adjustments (aggressive interim reporting?)
- Qualified audit opinions or auditor changes (because old auditor challenged the management?)
- Poor internal governance (lack of independent directors – directors affiliated, serving long tenure?)
- Related-party transactions

Red Flag Example:
Aggressive Revenue Recognition

"We drilled down, but we didn't like what we found, so we filled it all back in."

Recap: Revenue Recognition Principle

Recap: Revenue Recognition Principle

1. Revenue has been earned: The firm has performed all (or a substantial portion of) the services, or conveyed the asset to the buyer
2. Revenue is measurable: The firm has received cash, a receivable or some asset capable of reasonable measurement

Revenue Recognition Principle (cont'd)

- Revenues are recorded in the period when they are earned
- Matching principle: expenses are matched against the revenue they help generate
- Revenue recognition policy is the most important accounting policy and it has a BIG impact on bottom-line profitability
- Over 40% of accounting irregularities involve revenue recognition

Pop Quiz

Groupon sold a spa coupon at £50. Customers can use the coupon in exchange of £100 service in the spa. Groupon pays the spa vendor £25 for this transaction. How much revenue should Groupon record?

Groupon

- What is Groupon's revenue recognition policy?
  - "Revenue primarily consists of the gross amount paid by customers for purchased Groupons, excluding any applicable taxes, less customer refunds and obligations related to credits earned for customer loyalty and reward programs. We record our revenue on a gross basis because we consider ourselves to be the primary obligor for the Groupon voucher. This consideration stems from the Groupon Promise, which provides that our customers will receive a refund of the amount paid for the Groupon by such customer in the event that the merchant is unable or fails to deliver the goods or services in a satisfactory manner. Our merchants are responsible for fulfilling the obligation to deliver the goods and services that are sold when a Groupon is redeemed."

Groupon's Revenue Recognition Policy

- This means that if Groupon sells a coupon for £50 (promising £100 in services at a vendor) and pays the vendor £25, it records the entire £50 as revenue, despite its having to remit 50% of the coupon proceeds to the vendor that actually provides the goods or services.

- What is Groupon's revenue? £50 (gross revenue recognition) or £25 (net recording, Groupon's actual commission)?

Staff Accounting Bulletin 101: Transaction Intermediaries

Facts: Company A operates an internet site from which it will sell Company T's products. Customers place their orders for the product by making a product selection directly from the internet site and providing a credit card number for the payment. Company A receives the order and authorization from the credit card company, and passes the order on to Company T. Company T ships the product directly to the customer. Company A does not take title to the product and has no risk of loss or other responsibility for the product. Company T is responsible for all product returns, defects, and disputed credit card charges. The product is typically sold for $175 of which Company A receives $25. In the event a credit card transaction is rejected, Company A loses its margin on the sale (*i.e.*, the $25).

Question: In the staff's view, should Company A report revenue on a gross basis as $175 along with costs of sales of $150 or on a net basis as $25, similar to a commission?

Interpretive Response: Company A should report the revenue from the product on a net basis.

So what is the big deal?

- **Sept 24, 2011, WSJ: *More Trouble for Groupon IPO***
- **SEC made Groupon restate financials, COO resigned**

	Year Ended December 31,		
	2008	**2009**	**2010**
Revenue (from S-1)	$94	$30,471	$713,365
Restated Revenue (from S-1/A)	5	14,540	312,941
Revenue overstatement %	1,780%	110%	128%

http://www.zacks.com/commentary_print.php?article_id=110083&type=BLOG

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Groupon's Legal Woes Continue

by Zacks Equity Research Published on September 24, 2013 | 0 Comments

GRPN CS MS GS

Daily discount deals provider **Groupon Inc.** (GRPN - Snapshot Report) failed to convince a federal judge to dismiss a lawsuit filed by an individual investor Michael Carter Cohn. The order, issued by the U.S. District Judge Charles Norgle, confirmed that Groupon will have to face the lawsuit filed against it.

The lawsuit, accuses Groupon of misleading investors by giving improper information about the financial prospects and internal control issues of the company.

Per the lawsuit filed by the investors in Apr 2012, Groupon has been accused of securities fraud and for manipulating the accounts, using illegal refund accounting policies. This helped the company to inflate its revenues in the prospectus issued for the IPO and provided to the U.S. Securities and Exchange Commission.

Groupon announced its IPO on Nov 4, 2011. A few months later, Groupon surprised the investor community by reporting a larger net loss in its fourth-quarter 2011 results, citing "material weakness" in its internal controls. It also stated its failure to set aside enough money for customer refunds.

This news dragged down the stock price, which bottomed at $2.60 last November, although it recovered subsequently.

This incident influenced a group of investors, led by Cohn, to initiate a lawsuit against the company. Now Cohn is trying to turn it into a class action suit. On the other hand, Judge Norgle has postponed his decision to allow Cohn to be the representative for a class, as he did not actually buy his shares during the IPO.

Moreover, the federal judge also turned down the requests made by **Credit Suisse** (CS - Snapshot Report), **Goldman Sachs** (GS - Analyst Report) and **Morgan Stanley** (MS - Analyst Report), to give them a clean chit in the IPO-related proceedings.

Groupon has been making an effort to turn itself into a serious e-commerce business and replaced Andrew Mason with Eric Lefkofsky as chief executive.

Although we believe that Groupon is well positioned to gain from rising e-commerce spending on mobile devices, a profitable domestic market and an under-penetrated international market, this pending lawsuit may affect the goodwill and may put a financial burden on the company if proved guilty.

Currently, Groupon carries a Zacks Rank #3 (Hold).

Step 6: Undo Accounting Distortions

- Use information from the cash flow statement and notes to the financial statements to (possibly imperfectly) undo distortions
- Make accounting adjustments
- Recast financial statements

Recasting Financial Statements

- Balance sheets, (comprehensive) income statements, and statements of cash flows may be recast with standardized line-item descriptions to increase their usefulness
- Classification of financial statement items along the following dimensions:
  - Business (operating and investment) vs. financial assets or liabilities.
  - Current vs. non-current assets or liabilities.
  - Assets or liabilities from continued vs. discontinued operations.
- See the instruction and example of standardized financial statements on Moodle.
- Templates will be provided throughout this course.

Accounting Analysis Pitfalls

- Conservative accounting may also be misleading.
  - For example, historical cost and accounting for intangible assets
- Not all unusual accounting practices are questionable.
- Common standards ≠ common practices

Conclusions

- Accounting analysis is an essential step in analyzing corporate financial reports.
- A methodology consisting of six steps in analyzing accounting data.
- Next class, we are going to learn details about accounting adjustments and recasting (Step 6).